

INTERNAL AUDIT REPORT

Anti-Fraud Investigation Audit | Report No. AR-02324

Report ID:	AR-02324
Audit Type:	Anti-Fraud Investigation Audit
Report Date:	February 27, 2025
Audit Period:	2024-03-27 to 2025-02-14
Lead Auditor:	Alexander Reyes (EMP-29999)
Reviewed By:	Jessica Vazquez (EMP-39977)
Primary Vendor Reference:	IronPoint Manufacturing Inc (VND-00976)
Subject Employee Reference:	Daniel Adams (EMP-56761)
Primary Transaction Reference:	TXN-838174
Overall Risk Rating:	HIGH

1. EXECUTIVE SUMMARY

This anti-fraud investigation audit covered the period 2024-03-27 to 2025-02-14 and examined transactions, approvals, and compliance records associated with vendor IronPoint Manufacturing Inc (VND-00976) and employee Daniel Adams (EMP-56761). The audit identified 4 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **HIGH**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-838174 (amount 265,146.14 USD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-001680	MEDIUM	APPROVAL LIMIT	Payment of \$441,690 approved at Level 2, which has a limit of \$500,000. Transaction exceeded limit by \$4,535.
FND-003048	MEDIUM	EXPIRED COMPLIANCE	Procurement team processed payment without checking compliance status. Certificate had been expired for 424 days.

Finding ID	Severity	Category	Description
FND-000688	CRITICAL	POLICY BREACH	Entertainment expense of \$497,561 submitted by EMP-86084 exceeds monthly policy allowance of \$25,000.
FND-003844	MEDIUM	POLICY BREACH	Expense claim of \$431,671 for Accommodation exceeds the policy maximum of \$25,000. Overage: \$34,869.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-001612	CONTRACT RECORD	EVD-AFH-3082	0.89
EVI-002502	AUDIT REPORT	EVD-KFX-1353	0.84
EVI-002807	EXPENSE CLAIM	EVD-OXF-8834	0.76
EVI-002937	DNS LOG	EVD-UZR-8712	0.67
EVI-004471	CONTRACT RECORD	EVD-NQT-5970	0.99
EVI-004751	DNS LOG	EVD-SBC-5981	0.93

5. RECOMMENDATIONS

- Implement receipt-matching automation for expense claims above the policy threshold.
- Escalate repeat policy violations to the Risk Committee for disciplinary review.
- Establish a quarterly reconciliation process between Purchase Orders and Vendor Invoices.

6. MANAGEMENT RESPONSE

Management accepts the residual risk and has documented justification on file with the Chief Risk Officer.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Alexander Reyes	EMP-29999	2025-02-27
Reviewing Officer	Jessica Vazquez	EMP-39977	2025-03-01